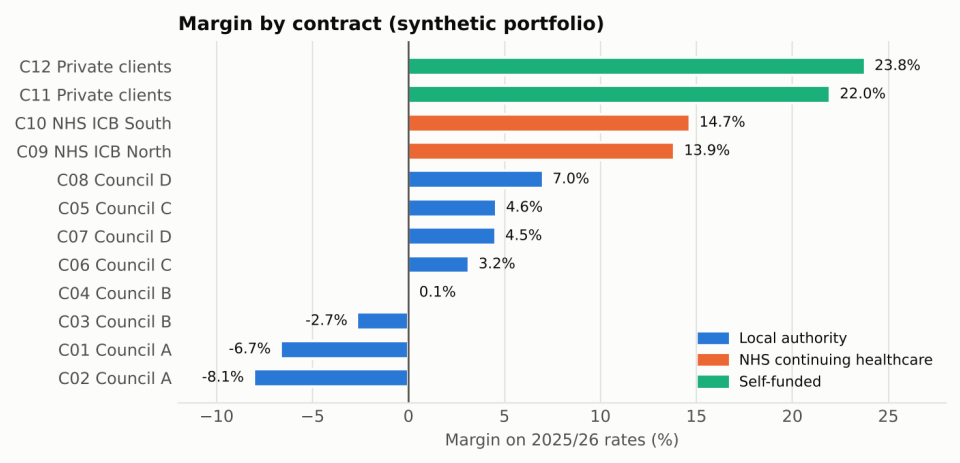
Commercial brief: home care pricing and the 2026/27 fee round

Nihal Naresh Kumar, November 2026. Pay, on-cost, mileage and Bury Council rates are published figures; the contracts, homes, tender and supplier ledger are synthetic. Full model: github.com/nihalgowda2002-arch/care-contract-pricing.

Summary

Costs on the portfolio rose 5.6% in 2026/27: 3.9 points from the National Living Wage rise to £12.71 and CPI on non-pay costs, and 1.8 points from HMRC's approved mileage rate rising from 45p to 55p, which was announced in May, after councils had set their fees. A 3.6% uplift on every contract cuts the portfolio margin from 4.2% to 2.3%, about £249,000 a year on £12.2m of revenue. Council work, three quarters of revenue, moves from a margin of minus 0.5% to minus 2.5%, and NHS and self-funded work carry the profit.



What a contact hour costs (typical urban package, 2026/27)

	15 min	30 min	45 min	60 min
Price per contact hour, urban (5% margin)	£41.04	£31.48	£28.30	£26.71
Price per contact hour, rural	£58.64	£40.28	£34.17	£31.11

The package costs £28.25 an hour and needs £29.73 at a 5% margin; care worker pay and on-costs are 76% of cost. Bury's 2026/27 standard rate of £24.30 covers the £23.80 direct cost and 11% of overheads, and its enhanced rate of £28.53 leaves a margin of about 1%. A 25% change in travel time moves the price by £1.36 an hour, slightly more than a 5% change in pay.

Recommendations

1. **2027/28 fee submissions:** show the cost build-up line by line, and ask for the mileage increase as its own item, since 2026/27 fees did not include it. Contracts below the 5% target need 6% to 21% to reach it; start with the council contracts that already lose money.
2. **Tender pricing:** price 15-minute and rural visits separately, or ask for a rural supplement; they cost 54% and 28% more per contact hour than 60-minute and urban 30-minute visits.
3. **Council E tender:** bid with conditions. The £32.20 ceiling gives a 3.8% margin at 40% rural hours (walk-away rate £31.61). Ask for a rural supplement or cap rural hours at 34%, and phase the start, as 30 new care workers are needed against 24 we can recruit in time.
4. **Care homes:** Home 4 loses about £75,600 a year at 82% occupancy and breaks even at 86.6%, about two more residents. Focus admissions there and review its council fee; Home 2 (2.9% margin) is next.
5. **Purchasing:** move gloves, aprons and continence pads to the cheapest current supplier (£12,300 a year) and recruit to replace 30% of agency hours (£56,600 a year): together 5.1% of £1.36m of spend.

Method and limits

Visit costs combine contact, travel and training time at the National Living Wage, 12.07% holiday accrual, employer National Insurance (15% above £5,000) and pension (3% of qualifying earnings), mileage, branch staff (12% of care worker cost) and non-pay overheads. Travel time, overheads and the visit mix are assumptions that a provider's rota and ledger data would replace. Sick pay, sleep-ins, enhancements and the Apprenticeship Levy are not modelled.